

BTC Options Cycle Strategy

Systematic Deribit Premium Selling — Backtest Report

Confidential | Generated July 2026

Backtest Period: Mar 2021 — May 2026 (5.26 years, 324 trades)

+32.5%	5.90	-8.0%	94.8%
CAGR (BTC)	Sharpe Ratio	Max Drawdown	Win Rate

5.00 BTC → 21.91 BTC | +338% cumulative return (BTC) | +433% in USD incl. BTC appreciation

1. Executive Summary

This report presents the backtest results of a fully systematic BTC options premium-selling strategy on Deribit. Direction and instrument selection are governed by a proprietary cycle-phase regime model; the model and all operating parameters are withheld from this edition. All returns are denominated in BTC — pure options trading alpha, no spot beta included. The strategy was extracted from 69 monthly Deribit statements (Dec 2020 – Jun 2026) and independently validated; the equity-scaled variant compounds returns by sizing positions in proportion to account equity.

2. Key Performance Metrics

Metric	Fixed Size	Equity-Scaled	Equity + DVOL
Starting Equity	5.00 BTC	5.00 BTC	5.00 BTC
Final Equity	12.80 BTC	21.91 BTC	16.11 BTC
Total P&L	+7.80 BTC	+16.91 BTC	+11.11 BTC
CAGR	+19.6%	+32.5%	+25.0%
Max Drawdown	-7.9%	-8.0%	-4.9%
Sharpe Ratio	4.79	5.90	5.76
Win Rate	94.8%	94.8%	94.8%
Total Trades	324	324	324
Avg IM Usage	14.4%	24.0%	20.6%
Peak IM	31.8%	32.2%	32.7%

3. Direction Model — Proprietary

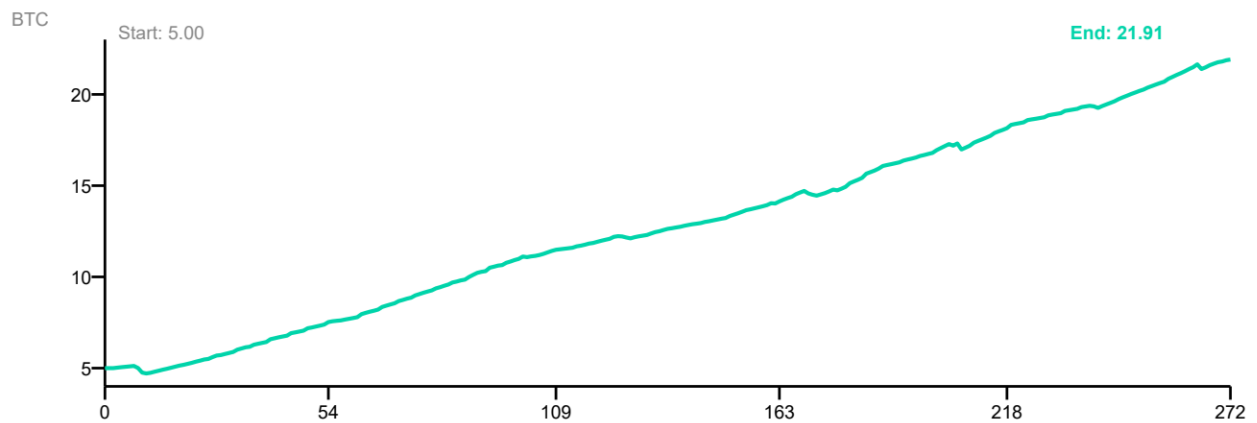
The sell side (puts vs calls) is set by a cycle-phase regime model validated across 1.5 complete market cycles. The model, strike selection, tenors, cadence, sizing and guard rails are withheld from this edition; execution is fully systematic with no discretionary overrides.

6. Yearly Breakdown (Equity-Scaled)

Year	P&L (BTC)	Return %	Trades	Win Rate	Start Eq	End Eq
2021	+2.08	+41.5%	51	94.1%	5.00	7.08
2022	+3.76	+53.1%	62	100.0%	7.08	10.84
2023	+2.47	+22.8%	64	93.8%	10.84	13.31
2024	+3.76	+28.2%	64	92.2%	13.31	17.06
2025	+3.32	+19.5%	62	93.5%	17.06	20.38
2026	+1.53	+7.5%	21	95.2%	20.38	21.91

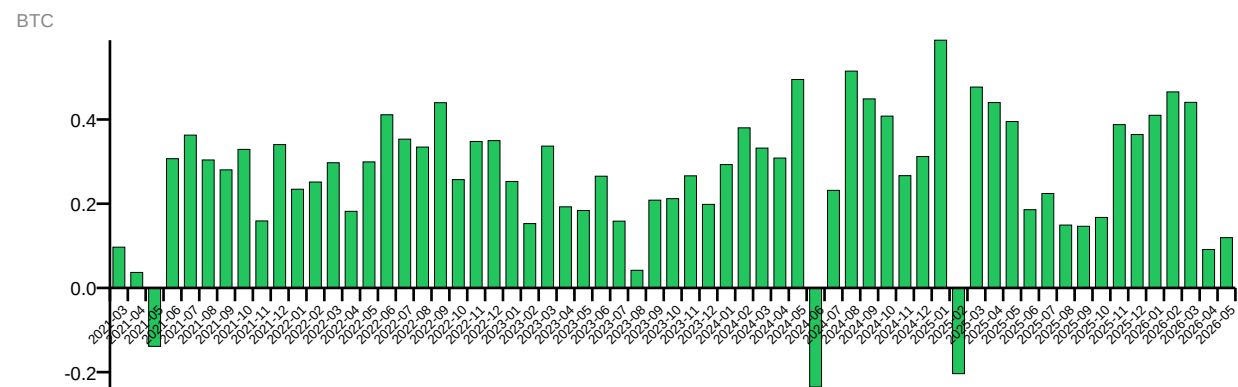
7. Equity Curve (Equity-Scaled, Weekly)

5.00 BTC starting equity, weekly snapshots. Position size scales with account equity.



8. Monthly P&L; Distribution

Monthly P&L; in BTC (equity-scaled). Green = profit, Red = loss.



Positive months: 60 | Negative months: 3 | Best: +0.588 BTC | Worst: -0.235 BTC | Average: +0.268 BTC

9. Level 2 Validation (Real Trade Prices)

A second-level backtest replaced Black-Scholes pricing for far legs with REAL Deribit trade prices (quarterly instruments, daily resolution, 14 expiries from 2022-2025). Results:

Metric	Level 1 (BS-only)	Level 2 (Hybrid)
CAGR	+19.5%	+20.7%
Sharpe	3.03	3.46
Max DD	-13.8%	-9.3%
Total BTC	+3.17	+3.46
Far-leg breach	7.0%	0.0%

BS overestimates breaches because it prices with flat DVOL (no skew). Real far-OTM tails are safer.